sidiary that pays them, we have a particularly dangerous form of pyramiding of earnings. The New York Stock Exchange, beginning in 1929, has made stringent regulations forbidding this practice. (The point was discussed in Chap. 30.) In the case of Tobacco Products the device was especially objectionable because the stock dividend was issued in the first instance to represent a fictitious element of earnings, *i.e.*, the appreciation of leasehold values. By unscrupulous exploitation of the holding-company mechanism these imaginary profits were effectively multiplied by three.

On a consolidated earnings basis, the report of Tobacco Products for 1926 would read as follows:

American Tobacco Co. lease income, less income tax, etc.	$2,100,000
80% of earnings on United Cigar Stores common	6,828,000*
	$8,928,000
Class A dividend	3,136,000
Balance for common	$5,792,000
Earned per share	$7.27

* Excluding leasehold appreciation.

The reported earnings for Tobacco Products common given as $11 per share are seen to have been overstated by about 50%.

It may be stated as a Wall-Street maxim that where manipulation of accounts is found, stock juggling will be found also in some form or other. Familiarity with the methods of questionable finance should assist the analyst and perhaps even the public, in detecting such practices when they are perpetrated.[6]

SUBSIDIARY COMPANIES AND CONSOLIDATED REPORTS

This title introduces our second general type of adjustment of reported earnings. When an enterprise controls one or more important subsidiaries, a *consolidated* income account is necessary to supply a true

[6] To avoid an implication of inconsistency, because of our favorable comments on Tobacco Products Corporation 6½s, due 2022, in a previous chapter, we must point out that a complete change of management took place in this situation during 1930. There have also been two complete changes in the management of United Cigar Stores and its successor.